

Accounting Theory

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1.0 SHORT NOTES QUESTIONS

1. Write short notes on the any two of the following:

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| (a) Functions of Accounting | [2003] |
| (b) Limitation of Accounting | [2003] |
| (c) Users of an Accounting Information and Their Needs | [2004(E)] |
| (d) Accounting Equation | [2005, 2010(R)] |
| (e) Fundamental Accounting Assumptions | [2000] |
| (f) Generally accepted Accounting Principles | [2007(E)] |
| (g) Accounting/Business Entity Principle | [2010, 2002, 1997, 1994] |
| (h) Accounting Period Principle | [1996] |
| (i) Money Measurement Principle | [2002, 1998, 1996] |
| (j) Going Concern Principle | [2005, 2004, 2003] |
| (k) Consistency Principle | [2005, 2004, 1995] |
| (l) Prudence (or Conservatism) Principle | [2005, 2004, 1999] |
| (m) Full Disclosure Principle | [1997, 1996] |
| (n) Materiality Principle | [2004, 1996, 1995, 1993, 1992] |
| (o) Historical Cost Principle | [1995, 1992] |
| (p) Revenue Recognition Principle | [2000, 2002, 2004] |
| (q) Matching Principle | [2003, 2001, 1996] |
| (r) Duality Principle | [2002, 2002, 1990] |
| (s) Imprest System of Petty Cash | [2003] |
| (t) Treatment of Bad Debts in Consignment Account | [2009] |
| (u) Garner vs. Murray Rule | [2004, 2001, 1994] |

ANSWERS

(A) FUNCTIONS OF ACCOUNTING

To Maintain Accounting Records

Written records are always better than oral records, since written records can be used by different persons for different decision-making purposes and serve as evidence of transactions. Nowadays, the volume of transactions is so large, a human memory cannot absorb each and every transaction. Accounting is done to keep a systematic record of (i) financial transactions, (ii) assets and (iii) liabilities.

To Calculate the Results of Operations	A systematic record of incomes and expenses facilitates the preparation of the Income Statement so as to measure the financial performance of an enterprise during a particular accounting period.
To Ascertain the Financial Position	A systematic record of various assets and liabilities facilitates the preparation of a Position Statement (also known as Balance Sheet) so as to ascertain the Financial Position of an enterprise at a particular date.
To Communicate the Information to the Users	Accounting communicates information to internal users and external users. The internal users include all the organizational participants at all levels of management (i.e. top, middle and lower). Top level management requires information for planning, middle level management requires information for controlling the operations. For internal use, the information is usually provided in the form of reports, for instance Cash Budget Reports, Production Reports, Idle Time Reports, Feedback Reports, Whether to Retain or Replace an Equipment Decision Reports, Project Appraisal Report, and the like. Since the external users (e.g. Banks, Creditors) do not have direct access to all the records of an enterprise, they have to rely on financial statements as the source of information. External users are basically interested in the solvency and profitability of an enterprise.

(B) LIMITATIONS OF ACCOUNTING

Ignores the Qualitative Elements	Since the accounting is confined to the monetary matters only, the qualitative elements like quality of management, quality of labour force, public relations are ignored.
Not Free from Bias	In many situations, the accountant has to make a choice out of various alternatives available, e.g., choice in the method of depreciation (e.g., Straight Line or Written down), choice in the method of inventory valuation (e.g. FIFO, LIFO etc.). Since the subjectivity is inherent in personal judgement, the financial statements are therefore not free from bias. As a result, the analysis of financial statements also cannot be said to be free from bias.
Estimated Position and not Real Position	Since the financial statements are prepared on a going concern basis as against liquidation basis, they report only the estimated periodic results and not the true results since the true results can be ascertained only on the liquidation of an enterprise.
Ignores the Price-level Changes in Case of Financial Statements Prepared on Historical Costs	In case of financial statements prepared on historical costs, the Fixed Assets are shown in the Balance Sheet at historical costs less depreciation and not at the replacement value which is often far higher than the value stated in the Balance Sheet. The analysis of such financial statements will not yield strictly comparable results unless the price-level changes are taken into account.
Danger of Window Dressing	When the management decides to enter wrong figures to artificially inflate or deflate the figure of profits, assets and liabilities, the Income Statement fails to provide true and fair view of the financial performance and Balance Sheet fails to provide true and fair view of the financial position of the enterprise.

(C) USERS OF AN ACCOUNTING INFORMATION AND THEIR NEEDS

<i>Users</i>	<i>Need for Information</i>
Short-term Creditors [For example, Suppliers of raw-materials/goods, Suppliers of short-term loans]	Short-term creditors need information to determine whether the amount owing to them will be paid when due and whether they should extend, maintain or restrict the flow of credit to an individual enterprise.
Long-term Creditors [For example, suppliers of long-term loans]	Long-term creditors need information to determine whether their principals and the interest thereof will be paid when due and whether they should extend, maintain or restrict the flow of credit to an enterprise.
Present Investors [For example, equity share holders]	Present investors need information to judge prospects for their investment and to determine whether they should buy, hold or sell the shares.
Potential Investors [For example, those who want to invest]	Potential investors need information to judge prospects of an enterprise and to determine whether they should buy the shares.
Management	Management needs information to review the firm's (a) short-term solvency, (b) long-term solvency, (c) activity (viz. effective utilisation of its resources), (d) profitability in relation to turnover, (e) profitability in relation to investments and to decide upon the course of action to be taken in future.
Employees	Employees and their representative groups are interested in information about the stability and profitability of the employers. They are also interested in information which enables them to assess the ability of the enterprise to pay remuneration, retirement benefits and to provide employment opportunities.
Tax Authorities	Tax authorities need information to assess the tax liabilities of an enterprise.
Customers	Customers have an interest in information about the continuation of an enterprise, especially when they have established a long term involvement with, or are dependent on, the enterprise.
Government and their agencies	Government and their agencies are interested in the allocation of resources and, therefore, the activities of enterprise. They also require information in order to regulate the activities of enterprise, determine taxation policies and the basis for the national income and similar statistics.
Public	Enterprises affect members of the public in a variety of ways. <i>For example</i>, enterprises may make a substantial contribution to the local economy in many ways including the number of people, they employ and their patronage of local suppliers. Financial statements may assist the public by providing information about trends and recent developments in the prosperity of the enterprise and the range of its activities. While all the information needs of these users cannot be made by financial statements, there are some needs which are common to all users. The information contents of the financial statements which meet information needs of the investors or providers of risk capital will also meet most of the needs of other users.

(D) ACCOUNTING EQUATION

Meaning	An Accounting equation is a statement of equality between the Total Assets and Total Liabilities. Accounting equation shows the relationship between Capital, Liabilities and Assets. Total assets are equal to the sum of Capital and Liabilities. $\text{Total Assets} = \text{Liabilities} + \text{Capital}$ Total assets of the business unit are provided by the creditors/lenders and the owners. Therefore, at any point of time, the total assets of the business are equal to the total liabilities. Liabilities to the outsiders are known as liabilities but liability to the owners, in accounting is referred to as 'Capital'. $\text{Total Assets} = \text{Total Liabilities}$ <i>or</i> $\text{Total Assets} = \text{Liabilities} + \text{Capital}$ <i>or</i> $\text{Total Assets} - \text{Liabilities} = \text{Capital}$
Significance	The accounting equation is the base of double entry system of accounting. Accounting Equation holds good for all transactions and at all points of time since every transaction has two aspects.

(E) FUNDAMENTAL ACCOUNTING ASSUMPTIONS

The Accounting Standard (AS-1) 'Disclosure of Accounting Policies' issued by Institute of Chartered Accountants of India, which states that there are **three** Fundamental Accounting Assumptions:

Going Concern	The enterprise is normally viewed as a going concern, i.e. as continuing operations for the foreseeable future. It is assumed that the enterprise has <i>neither</i> the intention <i>nor</i> the necessity of liquidation or curtailing materially its scale of operations. If an enterprise is not a going concern, valuation of its assets and liabilities on historical cost becomes irrelevant and as a consequence its profit/loss may not give reliable information.
Consistency	It is assumed that accounting policies are consistent from one period to another. This adds the virtue of comparability to accounting data. If comparability is lost, the relevance of accounting data for users' judgement and decision making is gone.
Accrual	Revenues and costs are accrued, that is, recognised as they are earned or incurred (and not as money is received or paid) and recorded in the financial statements of the periods to which they relate. This assumption is the core of accrual accounting system. For companies it is mandatory to keep accounts on accrual basis under the Companies Act, 1956.
Disclosure requirements	If the fundamental accounting assumptions, viz. Going Concern, Consistency, and Accrual are followed in financial statements, specific disclosure is not required. If a fundamental accounting assumption is not followed, the fact should be disclosed.

(F) 'GENERALLY ACCEPTED ACCOUNTING PRINCIPLES' (GAAP)

Meaning	Generally Accepted Accounting Principles may be defined as those rules of action or conduct which are derived from experience and practice and when they prove useful, they become accepted as principles of accounting. <i>According to the American Institute of Certified Public Accountants (AICPA), the principles which have substantial authoritative support become a part of the generally accepted accounting principles.</i>
Criteria	The general acceptance of the accounting principles or practices depends upon how well they meet the following three criteria: (a) Relevance A principle is relevant to the extent it results in information that is meaningful and useful to the users of the accounting information. (b) Objectivity Objectivity connotes reliability and trustworthiness. A principle is objective to the extent the accounting information is not influenced by personal bias or judgement of those who provide it. It also implies verifiability which means that there is some way of ascertaining the correctness of the information reported. (c) Feasibility A principle is feasible to the extent it can be implemented without much complexity or cost. These criteria often conflict each other, for instance, information about the value of a new product to the inventor is indeed relevant but the best estimate of the value of a new product made by the management is highly subjective. Accounting, therefore does not attempt to record such values. It sacrifices relevance in the interest of objectivity. In developing new principles, the essential problem is to achieve a trade-off between relevance on one hand and objectivity and feasibility on the other.

(G) ACCOUNTING/BUSINESS ENTITY PRINCIPLE

Meaning	According to this principle, a business is treated as a separate entity that is distinct from its owner(s), and all other economic entities. <i>For example,</i> in case of a proprietary concern, though the legal entity of the business and its proprietor is the same, for the purpose of accounting, they are to be treated as separate from each other. If this assumption is not followed, the financial position and operating results of a business entity cannot be ascertained.
Implication	This principle requires that for accounting purposes, a distinction should be made between (i) personal transactions and business transactions, and (ii) transactions of one business entity and those of another business entity. <i>For example,</i> if the household expenses (Rs 10,000) of a proprietor are shown as business expenses, the profits of a business will be understated to the extent of Rs 10,000.

(H) ACCOUNTING PERIOD PRINCIPLE

Meaning	It is also known as <i>periodicity principle</i> or <i>time period principle</i> . According to this principle, the economic life of an enterprise is artificially split into periodic intervals which are known as accounting periods, at the end of which an <i>income statement</i> and <i>position statement</i> are prepared to show the financial performance and financial position.
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Implication	The use of this assumption further requires the allocation of expenses between capital and revenue. That portion of capital expenditure which is consumed during the current period is charged as an expense to income statement and the unconsumed portion is shown in the balance sheet as an asset for future consumption.
Estimate and Not Actual Income	Truly speaking, measuring the income following the concept of accounting period is more an estimate than factual since, actual income can be determined only on the liquidation of the enterprise.
Reporting Period	It may be noted that the custom of using twelve month period is applied only for external reporting. For internal reporting, accounts can be prepared even for shorter periods, say monthly, quarterly or half yearly.

(I) MONEY MEASUREMENT PRINCIPLE

Meaning	According to this principle, only those transactions which are capable of being expressed in terms of money are included in the accounting records. In other words, the information which cannot be expressed in terms of money is not included in accounting records. For example, if the sales director is not on speaking terms with the production director, the enterprise is bound to suffer. Since, monetary measurement of this information is not possible, this fact is not recorded in accounting records.
Implication	By expressing all transactions in terms of money, the different transactions expressed in different units are brought to a common unit of measurement (<i>i.e.</i> money). Besides ignoring the non-monetary facts or attributes, this assumption also ignores the changes in the purchasing power of the monetary unit. In other words, this assumption treats all rupees alike, whether it is a rupee of 1950 or 1999. Hence, now-a-days, it is considered to provide additional data showing the effect of price level changes on the reported income, assets and liabilities of the business.

(J) GOING CONCERN PRINCIPLE

Meaning	It is also known as <i>continuity assumption</i> . According to this assumption, the enterprise is normally viewed as a going concern, that is, continuing in operation for the foreseeable future. It is assumed that the enterprise has <i>neither</i> the intention <i>nor</i> the necessity of liquidation or of curtailing materially the scale of its operations.
Implications	It is because of the going concern assumptions: (i) that the assets are classified as <i>current assets</i> and <i>fixed assets</i>. (ii) the liabilities are classified as <i>short-term liabilities</i> and <i>long-term liabilities</i>. (iii) the unused resources are shown as <i>unutilised costs</i> (or <i>unexpired costs</i>) as against the break-up values as in case of liquidating enterprise. Accordingly, the earning power and not the break-up value evaluates the continuing enterprise.
Requirements of AS-1	According to Accounting Standard (1) issued by the Institute of Chartered Accountants of India, if this concept is followed, this fact need not be disclosed in the financial statements since its acceptance and use are assumed. In case this concept is not followed, the fact should be disclosed in the financial statement together with reasons.

(K) CONSISTENCY PRINCIPLE

Meaning	According to this principle, whatever accounting practices (whether logical or not) are selected for a given category of transactions, they should be followed on a horizontal basis from one accounting period to another to achieve comparability.
Examples	If the inventory is valued on LIFO basis, this basis should be followed year after year and if a particular asset is depreciated according to WDV method, this method should be followed year after year.
Effect of not observing Consistency Principle	If this principle of consistency is not followed, the intra-firm comparison (i.e. comparison of actual figures of one period with those of another period for the same firm), Inter-firm comparison (i.e. comparison of actual figures of one firm with those of another firm belonging to the same industry) and Pattern comparison (i.e. comparison of actual figures of one firm with those of industry to which the firm belongs) can not be made.
Differs from Uniformity	The consistency should not be confused with mere uniformity or inflexibility and should not be allowed to become an impediment to the introduction of improved accounting standards. It is not appropriate for an enterprise to leave its accounting policies unchanged when more relevant and reliable alternatives exist.
Disclosure	The users should be informed of the accounting policies employed in the preparation of the financial statements, any change in these policies and the effects of such changes.

(L) PRUDENCE PRINCIPLE (OR CONSERVATISM PRINCIPLE)

Meaning	According to this principle, the principle of 'anticipate no profit but provide for all probable losses' should be applied. In other words, the principle of conservatism requires that in the situation of uncertainty and doubt, the business transactions should be recorded in such a manner that the profits and assets are not overstated and the losses and liabilities are not understated.
Examples	1. Valuation of stock-in-trade at a lower of cost or net realisable value 2. Making the provisions for doubtful debts and discount on debtors.
Conflicts with Consistency	When the stock is valued at cost in one accounting period and at a lower of cost or net realisable value in another accounting period, this principle conflicts with the principle of consistency.
Conflicts with Full Disclosure	When excessive provisions for doubtful debts and depreciation are charged, it leads to the creation of secret reserves, and thus, this principle conflicts with the principle of full disclosure.
Conflicts with Objectivity	The estimation of probable losses is a subjective judgment and thus, this principle conflicts with the principle of objectivity. The practice of making provisions for doubtful debts and the like implies lesser charges in the following accounting periods. In other words, it reduces the current income and raises the future income and thus it conflicts with the matching principle. Nowadays, the conservatism principle is being replaced by the prudence principle which requires that the conservation principle should be applied rationally only in circumstances in which great uncertainty and doubt exists as the over-conservatism may result in misrepresentation.

(M) FULL DISCLOSURE PRINCIPLE

Meaning	According to this principle, the financial statements should act as means of conveying and not concealing. The financial statements must disclose all the relevant and reliable information which they purport to represent, so that the information may be useful for the users.
Requirement	For this, it is necessary that the information is accounted for and presented in accordance with its substance and economic reality and not merely with its legal form.
Example	The practice of appending notes to the financial statements has developed as a result of the principle of full disclosure.
Significance	The disclosure should be full, fair and adequate so that the users of the financial statements can make correct assessment about the financial performance and position of the enterprise.

(N) MATERIALITY PRINCIPLE

Meaning	This principle is basically an <i>exception</i> to the Full Disclosure Principle. The full disclosure principle requires that all facts necessary to ensure that the financial statements are not misleading, must be disclosed, whereas the materiality principle requires that the items or events having an insignificant economic effect or not being relevant to the user's need not be disclosed. According to the materiality principle, all relatively relevant items, the knowledge of which might influence the decision of the users of the financial statements, should be disclosed in the financial statements. Which information is more relevant than others is largely a matter of judgement.
Example	<i>For instance</i> , accounting and recording of a small calculator as an asset in the balance sheet may not be justified due to the excess of cost of recording over the benefits in terms of usefulness of recording and the accounting of calculators as assets.
Factors Affecting	The materiality depends not only upon the amount of item but also upon the size of business, level and nature of information, level of the person/department who makes the judgement about materiality, for instance a worker reporting to his foreman about the production in grams (e.g. part of kilogram), a foreman to his supervisor in kilograms, a supervisor to his production manager in quintals and the production manager to the top management in tonnes, may be justified with regard to the circumstances. It hardly makes any difference if the production manager reports to the top management that the production is 1,99,000.90 kilograms or simply 200 tonnes (nearly). It is desirable to establish and follow uniform policies governing material or non-material items so that while measuring income for an accounting period, the non-material items can be ignored on uniform basis. This principle of materiality is to be applied even if the cost of its application exceeds its benefits.

(O) HISTORICAL COST PRINCIPLE

Meaning	According to this principle, an asset is ordinarily recorded in the accounting records at the price paid to acquire it at the time of its acquisition and the cost becomes the basis for the accounts during the period of acquisition and subsequent accounting periods. Accordingly, if nothing is paid to acquire an
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	asset; the same will not be usually recorded as an asset, e.g. a favourable location and increasing reputation of the concern will remain unrecorded though these are valuable assets.
Justification	The justification for the use of the cost concept lies in the fact that it is objectively verifiable.
Depreciation	This does not mean that the all assets will always be shown at cost. The cost of a depreciable fixed asset is systematically reduced from year to year by charging depreciation and the asset is shown in the balance sheet at book value (<i>i.e.</i> cost less depreciation). It may be noted that the purpose of depreciation is to allocate the cost of a depreciable fixed asset over its useful life and not to adjust its cost so as to bring it close to the market value.

(P) REVENUE RECOGNITION PRINCIPLE

Meaning	According to this principle the revenue is recognised in the Income Statement of an enterprise for the period in which it is earned irrespective of the fact whether it is received or not during that period
Meaning of Revenue	Revenue is the gross inflow of cash, receivables or other considerations arising in the course of ordinary activities of an enterprise from the sale of goods, rendering of services and use of enterprise resources by others yielding interests, royalties and dividends. It excludes the amount collected on behalf of third parties such as certain taxes. In an agency relationship, the revenue is the amount of commission and not the gross inflow of cash, receivables or other considerations.
Implications	Advance Receipts, Outstanding Receipts, Accrued Incomes. Unaccrued Incomes are the result of Revenue Recognition Principle.

(Q) MATCHING PRINCIPLE

According to matching principle, the expenses incurred in an accounting period should be matched with the revenues recognised in that period, that is, if revenue is recognised on all goods sold during a period, cost of those goods sold should also be charged to that period. It is wrong to recognise revenue on all sales, but charge expenses only on such sales as are collected in cash till that period.

This concept is basically an accrual concept since, it disregards the timing and the amount of actual cash inflow or cash outflow and concentrates on the occurrence (*i.e.* accrual) of revenue and expenses. This concept calls for adjustment to be made in respect of prepaid expenses, outstanding expenses, accrued revenue and unaccrued revenues.

Matching does not mean that expenses must be identifiable with revenues. Expenses charged to a period may or may not be related to the revenue recognised in that period, for example, cost of goods sold and commission to salesmen are directly related to sales whereas rent, interest, depreciation accruing with the passage of time and stock lost by fire are not directly related to sales revenue, yet they are charged to the accounting period to which they relate. Thus, appropriate costs have to be matched against the appropriate revenues for the accounting period.

(R) DUALITY PRINCIPLE

Meaning	Two fold aspect of a transaction is called dual aspect or duality of a transaction. This duality is the basis of double entry records. As the name implies, the entry made for each transaction is composed of two parts—one for debit and another for credit. The double entry system may be compared with the Newton's law of motion, viz, to every action there is always an equal and contrary reaction. Every debit has equal amount of credit. So the total of all debits must be equal to the total of all credits.	
Example	Example I Mr X sold goods for cash Rs 1,000 to Mr Y. In this case the dual aspects of this transaction for Mr X and Mr Y are as follows:	
	Dual Aspects for Mr X	Dual Aspects for Mr Y
	1. Receipt of Cash Rs 1,000 2. Foregoing of Goods of Rs 1,000	1. Payment of Cash Rs 1,000 2. Receipt of Goods of Rs 1,000
	Example II Mr X sold goods for Rs 1,000 to Mr Y on credit. In this case the dual aspects of this transaction for Mr X and Mr Y are as follows:	
	Dual Aspects for Mr X	Dual Aspects for Mr Y
	1. Acquisition of Right to recover Rs 1,000 2. Foregoing of Goods of Rs 1,000	1. Assumption of obligation to pay Rs 1,000 2. Receipt of Goods of Rs 1,000

(S) IMPREST SYSTEM OF PETTY CASH

Meaning	Under imprest system. The Chief Cashier <i>makes the reimbursement</i> of the amount spent by the Petty Cashier and the Petty Cashier <i>again</i> has the <i>same amount</i> of petty cash at the end as in the beginning.
Advantages	Control over Mistakes The chances of mistakes are reduced since the chief cashier regularly examines the petty cash book. Control over Petty Expenses Petty expenses are kept within the limits of imprest since the petty cashier can never spend more than the available petty cash. Control over Fraud Misappropriation if any, can never exceed the limits of imprest.

(T) TREATMENT OF BAD DEBTS IN CONSIGNMENT ACCOUNT

In the Books of Consignor	(a) <i>When Del-credere Commission is not allowed:</i> Consignment A/c Dr. To Consignee's A/c (b) <i>When Del-credere commission is allowed:</i> No entry is required to record bad debts.
In the Books of Consignee	<i>Entry for Bad Debts</i> (a) <i>If the Consignee does not get Del-credere Commission:</i> Consignor's A/c Dr. To Debtor's A/c

	(b) When the Consignee gets Del-credere Commission: (i) Bad Debts A/c Dr. To Debtor's A/c (ii) Profit & Loss A/c or Commission A/c Dr. To Bad Debts A/c
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(U) GARNER VS MURRAY RULE

Decision	Justice Joyee held that the loss arising due to the insolvency of a partner must be distinguished from an ordinary loss (including realisation loss). Unless otherwise agreed, the decision in <i>Garner vs Murray</i> requires— (a) That the solvent partners should bring in cash equal to their respective shares of the loss on realisation; (b) That the solvent partners should bear the loss arising due to the insolvency of a partner in the ratio of their Last Agreed Capitals.
Capital Ratio In case of Fixed Capitals	Ratio of Fixed Capitals (given in the Balance Sheet) without any adjustment.
Capital Ratio In case of Fluctuating Capitals	Ratio of Capitals after making adjustments for past accumulated reserves, profits or losses, drawings, interest on capitals, interest on drawings, remuneration to a partner etc. to the date of dissolution <i>but</i> before making adjustment for profit or loss on realisation.
Implication	A solvent partner having a debit balance in his capital Account as at the date of dissolution shall not bear any loss arising due to the insolvency of a partner since Capital Ratio is of capitals (i.e. credit balances).

2.0 DISTINGUISH QUESTIONS

1. Distinguish between the following:

- (a) Book-keeping and Accounting [2006(E)]
- (b) Accrual basis of accounting and Cash basis of accounting [2002 (R), 2003 (R), 2003(E)]
- (c) Trade Discount and Cash Discount [2002 (E), 2005 (R), 2010(R)]
- (d) Capital Expenditure and Revenue Expenditure [2002(R)]
- (e) Deferred Revenue Expenditure and Prepaid Expense [2000(E), 2003(E)]
- (f) Capital Receipts and Revenue Receipts [2002, 2004, 2005]
- (g) Wasting Assets and Fictitious Assets [2004(R)]
- (h) Accrued Income and Outstanding Income [2004(E), 2005, 2009(E)]
- (i) 'Provision' and 'Reserve' [2009(E)]
- (j) A Profit seeking organisation and a Not for Profit Organisation [2001]
- (k) Income and Expenditure Account and Profit & Loss Account [2000]
- (l) Receipts & Payments Account and Income & Expenditure Account [1999]
- (m) Straight Line Method and Written Down Value Method [2000, 2005(E)]
- (n) Consignment and Sale [2000, 2004(E)]
- (o) Account Sales and Sales Account [1998]
- (p) Normal Loss and Abnormal Loss in Consignment [1998]
- (q) Ordinary Commission and Del-Credere Commission [1999]
- (r) Del-Credere Commission and Over-riding Commission [2005(R), 2005(E), 2011]
- (s) Partnership and Joint Venture [2005(E)]
- (t) Joint Venture and Consignment [2004(R), 2006(E)]
- (u) Hire Purchase System and Instalment Purchase System [2004(R)]
- (v) Full Repossession and Partial Repossession [1999]
- (w) Dissolution of Partnership and Dissolution of Firm [2006(E)]
- (x) Revaluation Account and Realisation Account [1999]
- (y) Firm's Debts and Private Debts [1998]

ANSWERS

(A) BOOK-KEEPING AND ACCOUNTING

Basis of Distinction	Book-keeping	Accounting
1. Scope	Book-keeping involves— (a) identifying the transactions, (b) measuring the identified transactions, (c) recording the measured transactions, and (d) classifying the recorded transactions.	Accounting in addition to Book-keeping involves— (a) summarizing the classified transactions, (b) analysing the summarized results, (c) interpreting the analysed results and (d) communicating the interpreted information to the interested parties.
2. Stage	Book-keeping is primary stage.	Accounting is the secondary stage. It starts where book-keeping ends.

<i>Basis of Distinction</i>	<i>Book-keeping</i>	<i>Accounting</i>
3. Basic Objective	The basic objective of book-keeping is to maintain systematic records of financial transactions.	The basic objective of accounting is to ascertain the financial performance and financial position and to communicate information to the interested parties.
4. Who Performs	Book-keeping work is performed by junior staff .	Accounting work is performed by senior staff .
5. Knowledge Level	The book-keeper is not required to have higher level of knowledge than that of an accountant.	The accountant is required to have higher level of knowledge than that of book-keeper.
6. Analytical Skill	The book-keeper may or may not possess analytical skill.	An accountant is required to possess analytical skill.
7. Nature of Job	The job of a book-keeper is often routine and clerical in nature.	The job of an accountant is analytical in nature.
8. Designing of Accounting System	It does not cover designing of accounts system.	It covers designing of accounting system.
9. Supervision & Checking	The book-keeper does not supervise and check the work of an accountant.	An accountant supervises and checks the work of a bookkeeper.

(B) ACCRUAL BASIS OF ACCOUNTING AND CASH BASIS OF ACCOUNTING

Accrual Basis of Accounting Accrual Basis of Accounting is a method of recording transactions by which revenue, costs, assets and liabilities are reflected in the accounts for the period in which they accrue. This basis includes consideration relating to deferrals, allocations, depreciation and amortisation. This basis is also referred to as mercantile basis of accounting. Under the Companies Act 1956, all companies are required to maintain the books of accounts according to accrual basis of accounting.

Cash Basis of Accounting Cash Basis of Accounting is a method of recording transactions by which revenues, costs, assets and liabilities are reflected in the accounts for the period in which actual receipts or actual payments are made.

ACCRUAL BASIS OF ACCOUNTING AND CASH BASIS OF ACCOUNTING

<i>Basis of Distinction</i>	<i>Accrual Basis of Accounting</i>	<i>Cash Basis of Accounting</i>
1. Prepaid/ Outstanding Expenses/ accrued/unaccrued Income in Balance Sheet.	Under this, there may be prepaid/outstanding expenses and accrued/unaccrued incomes in the Balance Sheet.	Under this, there is no prepaid/ outstanding expenses or accrued/ unaccrued incomes.
2. Higher/lower income in case of prepaid expenses and accrued income	Income Statement will show a relatively higher income.	Income Statement will show lower income.

Basis of Distinction	Accrual Basis of Accounting	Cash Basis of Accounting
3. <i>Higher/lower income in case of outstanding expenses and unaccrued income</i>	Income Statement will show a relatively lower income.	Income Statement will show higher income.
4. <i>Recognition under the Companies Act., 1956.</i>	This basis is recognised under the Companies Act, 1956.	This basis is not recognised under the Companies Act, 1956.
5. <i>Availability of options to an accountant to manipulate the accounts by way of choosing the most suitable method out of several alternative methods of accounting e.g. FIFO/LIFO/SLM/WDV</i>	Under this, an accountant has options .	Under this an accountant has no option to make a choice as such.

(C) TRADE DISCOUNT AND CASH DISCOUNT

Basis of Distinction	Trade Discount	Cash Discount
1. <i>Meaning</i>	It is a reduction granted by a supplier from the list price of goods or services on business considerations (such as quantity bought, trade practices etc.) other than for prompt payment.	A reduction granted by a supplier from the invoice price in consideration of immediate payment or payment within a stipulated period.
2. <i>Purpose</i>	It is allowed to promote the sales or as a trade practice.	It is allowed to encourage the prompt payment .
3. <i>Time when allowed</i>	It is allowed on purchase of goods .	It is allowed on immediate payment or payment within a specified period.
4. <i>Disclosure in the Invoice</i>	It is shown by way of deduction in the invoice itself.	It is not shown in the invoice.
5. <i>Ledger Account</i>	Trade Discount Account is not opened in the ledger.	Cash Discount Account is opened in the ledger.
6. <i>Variation</i>	It may vary with the quantity purchased.	It may vary with the period within which the payment is made.

(D) CAPITAL EXPENDITURE AND REVENUE EXPENDITURE

<i>Basis of Distinction</i>	<i>Capital Expenditure</i>	<i>Revenue Expenditure</i>
1. Meaning	It is an expenditure which is incurred— (a) to acquire or bring into existence an asset (b) to acquire or bring into existence an advantage or benefit of an enduring nature. (c) to increase the productivity or earning capacity	It is an expenditure which is incurred— (a) to maintain the productivity or earning capacity of a business. (b) to carryout operating activities in the normal course of business.
2. Benefits	It normally yields benefits <i>beyond</i> current accounting period.	It normally does not yield benefits beyond current accounting period.
3. Accounting Treatment	It is debited to the respective asset account .	It is debited to Trading Profit & Loss Account .
4. Examples	(a) Cost of Land & Building (b) Cost of Plant & Machinery (c) Cost of Furniture & Fixtures	(a) Depreciation on Land & Building (b) Rent (c) Repairs (d) Insurance

(E) DEFERRED REVENUE EXPENSES & PREPAID EXPENSES

The Guidance Note on "Terms used in Financial Statement" issued by the Institute of Chartered Accountants of India (ICAI), defines deferred revenue expenditure as that expenditure for which payment has been made or a liability incurred, but which is carried forward on the presumption that it will be of benefit over a subsequent period or periods. "In short, it refers to that expenditure that is, for the time being, deferred from being charged to income. Such suspension of 'charging off' operation may be due to the nature of expenses and the benefit expected therefrom. So long as deferred revenue expenditure is not written-off, this is shown on the assets side of the Balance Sheet under the head "Miscellaneous Expenditure".

Deferred revenue expenditure should be revenue expenditure by nature in the first instance, for example, advertisement. But its matching with revenue may be deferred considering the benefit to be accrued in future.

A thin line of difference exists between deferred revenue expenses and prepaid expenses.

- (i) The **benefits available from prepaid expenses can be precisely estimated but that is not so in case of deferred revenue expenses.** Heavy advertising to launch a new product is a deferred expense since the benefit from it will be available over the next three to five years but one cannot say precisely how long. On the other hand, insurance premium paid say, for the year ending 30th June 20X6, when the accounting year ends on 31st March 20X6, will be an example of prepaid expense to the extent of premium relating to three months period, i.e., from 1st April 20X6 to 30th June 20X6. Thus, the insurance protection will be available precisely for three months after the close of the year and the amount of the premium to be carried forward can be calculated exactly.
- (ii) **Deferred expenses are considered fictitious assets but prepaid expenses are considered as current assets.**

(F) CAPITAL RECEIPTS AND REVENUE RECEIPTS

<i>Basis of Distinction</i>	<i>Capital Receipts</i>	<i>Revenue Receipts</i>
1. Meaning	Capital Receipts refer to those receipts which are not revenue in nature.	Revenue Receipts refer to those receipts which arise in the normal course of business.
2. Accounting Treatment	These are credited to the respective account of Capital nature.	These are credited to Trading/Profit & Loss Account
3. Examples	1. Sale of Land & Building by a person other than a dealer in real estate 2. Raising of loans by a person other than one engaged in the business of finance/banking. 3. Raising of Capital.	1. Sale of Land & Building by a dealer in real estate. 2. Raising of loans by a person engaged in the business of finance/banking.

There is no specific test to draw a clear cut demarcation between a capital receipt and a revenue receipt. In order to determine whether a receipt is capital or revenue in nature, one has to look into its true nature and substance over the form in the hands of its receiptant. *For example*, sale proceeds of a land in the hands of a dealer in real estate is revenue receipt whereas the same in the hands of a dealer in cars is a capital receipt.

(G) WASTING ASSETS AND FICTITIOUS ASSETS

<i>Basis of Distinction</i>	<i>Wasting Assets</i>	<i>Fictitious Assets</i>
1. Meaning	Wasting Assets are those assets which are subject to physical deterioration by the exhaustion of natural resources	Truly speaking, Fictitious Assets are not assets at all. These merely represent an unwritten off amount of some items, which are to be written off in future as per management's accounting policy.
2. Examples	1. Ore Deposits in mines 2. Oil wells 3. Quarries 4. Timber stands	1. Dr. Balance of P&L A/c 2. Advertisement Expenditure Surplus A/c 3. Discount in issue of shares/ Debentures A/c 4. Preliminary Exp. 5. Underwriting Commission
3. Depletion or writing off	Wasting assets are gradually depleted.	Fictitious assets are written off.
4. Disclosure	These are shown under the head 'Fixed Assets'.	These are shown after the head 'Current Assets, Loans & Advances'.
5. Acceptance in security	Lenders accept such assets as security for a loan given.	Lenders do not accept such assets as security for a loan given.

(H) ACCRUED INCOME AND OUTSTANDING INCOME

<i>Basis of Distinction</i>	<i>Accrued Income</i>	<i>Outstanding Income</i>
1. Meaning	It refers to an income earned but neither due nor received during the current accounting period.	It refers to an income earned and due but not received during the current accounting period.
2. Due	It has not yet become due.	It has already become due.
3. Right to Claim	Right to claim accrued income may not always come into existence.	Right to claim outstanding income always come into existence

(I) 'PROVISION' AND 'RESERVE'

<i>Basis of Distinction</i>	<i>Provision</i>	<i>Reserve</i>
1. Meaning	Provision means "any amount written off or retained by way of providing for depreciation, renewal or diminution in value of assets, or retained by way of providing for any known liability of which the amount cannot be determined with substantial accuracy "(Part III, Schedule IV of the Companies Act).	The term 'reserve' is not defined in Part III of Schedule VI except negatively in the sense that profit retained in the business not having any of the attributes of a 'provision' is to be treated as a reserve. Also provisions in excess of the amount considered necessary for the purposes these were originally made, are to be considered as reserves.
2. Purpose	It is created for a particular purpose and can only be used for that particular purpose.	It need not necessarily be created for a particular purpose . e.g., General reserve is not for any particular purpose.
3. Charge Vs. Appropriation	It is a charge against the profit and is required to be created irrespective of the amount of profit.	It is an appropriation out of profit and can be created only if profits have been earned.
4. Disclosure in Balance Sheet	Usually a provision is shown by way of deduction from the amount of the items for which it is created. e.g. Provision for Doubtful Debts.	Reserve is shown as a separate item under the head Reserves and Surplus ' on the liabilities side of the Balance Sheet.
5. Investment outside the business	There is no question of investment of the amount of provisions.	The amount of a reserve can be invested outside the business.
6. Utilisation for Dividends	It cannot be utilised for distribution by way of dividends.	It can be utilised for distribution by way of dividends.
7. Examples	1. Provision for Tax 2. Provision for Doubtful Debts	1. General Reserve 2. Contingency Reserve

(J) A PROFIT SEEKING ORGANISATION AND A NOT FOR PROFIT ORGANISATION

<i>Basis of Distinction</i>	<i>Profit Seeking Organisation</i>	<i>Not for profit Organisation</i>
1. Primary Motive	The primary motive of such an entity is to earn profit .	The primary motive of such an entity is to provide services .
2. Owner's Fund Vs. Capital Fund	Interest of owners is known as owner's fund which represents the owner's investments <i>plus</i> accumulated reserves and surplus.	Interest of members is known as capital fund which represents the accumulated surplus of subscription, donations and net profits from activities carried on by such an entity.
3. Net Result of activities	The net result of the activities of such an entity is known as the profit/loss.	The net result of the activities of such an entity is known as the surplus/deficit.
4. Accounting Statements	The accounting statements of such type of entity include: (a) a Manufacturing A/c (b) a Trading A/c; (c) a Profit and Loss A/c; (d) a Balance Sheet.	The accounting statements of such an entity includes: (a) a Receipts and Payments A/c; (b) an Income and Expenditure A/c (c) a Trading A/c; (d) a Balance Sheet.

(K) INCOME AND EXPENDITURE ACCOUNT AND PROFIT & LOSS ACCOUNT

<i>Basic of Distinction</i>	<i>Income & Expenditure Account</i>	<i>Profit & Loss Account</i>
1. Object	The main object of Income and Expenditure Account is to ascertain excess of income over expenditure or excess of expenditure over income.	The main object of Profit and Loss Account is to ascertain net profit or net loss.
2. Who prepares?	This account is prepared by non-profit organisations .	This account is prepared by commercial institutions .
3. Basis of Preparation	This account is prepared on the basis of Receipts and Payments Account and other information .	This account is prepared on the basis of Trial Balance .
4. Balance	The balance of this account represents Surplus or Deficit .	The balance of this account represents Net Profit or Net Loss .

(L) RECEIPTS & PAYMENTS ACCOUNT AND INCOME & EXPENDITURE ACCOUNT

<i>Basis of Distinction</i>	<i>Receipts & Payments Account</i>	<i>Income & Expenditure Account</i>
1. Nature of Account	It is a real account.	It is a nominal account.
2. Period to which items relate	It records the receipts and payments whether they relate to previous, current or following accounting periods.	It records only those incomes, expenses and losses which relate to current accounting period.

<i>Basis of Distinction</i>	<i>Receipts & Payments Account</i>	<i>Income & Expenditure Account</i>
3. Nature of items recorded—Revenue Vs. Capital.	It records all the receipts and payments whether of capital or revenue nature .	It records the incomes, expenditures and losses of revenue nature .
4. Non-cash Items	Non-cash items are not shown in this account.	Non-cash items such as depreciation, bad debts, etc., are shown .
5. Items of Debit side	It is debited with all the sums received .	It is debited with the expenses and losses .
6. Items of Credit side	It is credited with all the sums paid out .	It is credited with the incomes .
7. Closing balance	Closing balance represents cash or bank balance (or bank overdraft) at the end of the accounting period.	Its closing balance represents either net surplus or net deficit .
8. Treatment of Closing balance	Its closing balance is carried forward in the same account of the next period .	Its closing balance is transferred to the Capital Fund in the Balance Sheet.
9. Opening balance	Opening balance represents cash or bank balances (or Bank Overdraft) in the beginning of the accounting period.	It has no opening balance .
10. Basic structure	It is basically a summarised Cash Book .	It is like a Profit & Loss Account .
11. Object	It is prepared to present a summary of cash transactions during an accounting period.	It is prepared to ascertain the net results of all the transactions during an accounting period.

(M) STRAIGHT LINE METHOD AND WRITTEN DOWN VALUE METHOD

<i>Basis of Distinction</i>	<i>Straight Line Method</i>	<i>Written Down Value Method</i>
1. Basic of Calculation	Depreciation is calculated at a fixed percentage on the original cost .	Depreciation is calculated at a fixed percentage on original cost (in first year) and on written down value (in subsequent years).
2. Amount of Depreciation	The amount of annual depreciation remains constant.	The amount of annual depreciation goes on decreasing .
3. Total Charge (i.e. Depreciation plus Repairs and Renewals)	Total charge in later years is more as compared to that in earlier years since the amount of repairs and renewals goes on increasing as the asset grows older, whereas the amount of depreciation remains constant year after year.	Total charge remains almost uniform year after year , since in earlier years the amount of depreciation is more and the amount of repairs and renewals is less whereas in latter years, the amount of depreciation is less and the amount of repairs & renewals is more.

<i>Basis of Distinction</i>	<i>Straight Line Method</i>	<i>Written Down Value Method</i>
4. Book Value	The book value of the asset becomes zero or equal to its scrap value.	The book value of the asset does not become zero.
5. Suitability	This method is suitable for those assets in relation to which (a) repair charges are less (b) the possibility of obsolescence is less.	This method is suitable for those assets in relation to which (a) the amount of repairs & renewals goes on increasing as the asset grows older and (b) the possibilities of obsolescence are more.
6. Calculation—Easy or difficult	It is easy to calculate the rate of depreciation.	It is difficult to calculate the rate of depreciation.

(N) CONSIGNMENT AND SALE

<i>Basis of Distinction</i>	<i>Consignment</i>	<i>Sale</i>
1. Nature of Relationship	The relation between the consignor and the consignee is that of principle and agent.	The relation between the seller and the buyer is that of creditor and debtor.
2. Ownership and Possession of goods	Only the possession and not the ownership is transferred to the consignee.	Both the possession and ownership are transferred.
3. Risk of Goods	Risk remains with the consignor because ownership remains with the consignor.	Risk remains with the buyer since ownership remains with him.
4. Proforma Invoice	Consignor prepares only a pro-forma invoice.	Seller prepares a sales invoice.
5. Subject matter of dealing	Only movable property may be its subject matter.	Any property may be its subject matter.
6. Who bears expenses incurred	Expenses incurred by consignee are borne by Consignor.	Expenses incurred after sale by buyer are borne by him and not by seller.
7. Profit/Loss Belong to	Profit/Loss on sale of belongs to Consignor.	After the sale is complete, the profit/loss belongs to buyer.
8. Return of Goods	Goods can be returned if they are not sold by the consignee.	Return of goods is not possible as goods once sold are not returnable unless goods are basically defective.
9. Account Sales	Account sale has to be submitted by the consignee to the consignor from time to time.	No Account sale is required to be submitted by the buyer to the seller.
10. Unsold Goods	Unsold goods with the consignee will be treated as stock of the consignor.	The seller has nothing to do with the goods which could not be resold.

(O) ACCOUNT SALES AND SALES ACCOUNT

An Account Sales is a statement sent by the consignee to the consignor periodically. It contains the information like (i) Sales made (ii) Expenses incurred on behalf of Consignor (iii) Commission earned (iv) An Advance (if any) given (v) the balance due to the principal. An Account Sales is different from Sales Account (which provides only the summary of sales made for cash and on credit).

(P) NORMAL LOSS AND ABNORMAL LOSS IN CONSIGNMENT

<i>Basis of Distinction</i>	<i>Normal Loss</i>	<i>Abnormal Loss</i>
1. Avoidable vs. Unavoidable	It is an unavoidable loss.	It is an avoidable loss.
2. Causes	It is caused due to the inherent features of the goods e.g. evaporation, normal leakage/spoilage.	It is usually caused by fire, theft, abnormal spoilage/pilferage etc.
3. Part of Cost	It is treated as a part of cost .	It is not treated as a part of cost.
4. Separate Value	Its value is not calculated separately.	Its value is calculated in the same manner as the value of unsold stock.
5. Adjustment	Its value is adjusted by inflating the cost per unit as under . Effective Cost per unit $= \frac{\text{Total Cost}}{\text{Total Qty} - \text{Normal Loss (in Qty.)}}$	Its value is credited to the Consignment Account in order to calculate the normal profit/loss on Consignment.
6. Journal Entry	No journal entry is passed to account for such loss.	The following journal entry is passed to account for such a loss: P&L A/c Dr. [irrecovered Loss] Insurance Co. Dr. [Claim admitted] To Consignment A/c [Total Loss] or Abnormal Loss A/c Dr. To Consignment A/c

(Q) ORDINARY COMMISSION AND DEL-CREDERE COMMISSION

<i>Basis of Distinction</i>	<i>Ordinary Commission</i>	<i>Del-credere Commission</i>
1. When allowed?	It is allowed to all the consignees for all the consignments for selling goods.	It is allowed to the consignee only when he undertakes the risk of bad debts arising out of credit sales.
2. Guarantee	In return of this commission, consignee guarantees only the proceeds of cash sales .	In return of this commission, consignee guarantees the proceeds of credit sales .
3. How to Calculate?	It is calculated at an agreed rate on the total sales.	It is calculated at an agreed rate <i>either</i> on total sales (if no agreement) <i>or</i> credit sales (if agreement provides).

(R) DEL-CREDERE COMMISSION AND OVER-RIDING COMMISSION

<i>Basis of Distinction</i>	<i>Del-credere Commission</i>	<i>Over-riding Commission</i>
1. When allowed?	It is allowed to the consignee when he undertakes the risk of bad debts arising out of credit sales.	It is allowed to the consignee to push sales or to effect sales at price higher than price fixed by the consignee.
2. Guarantee	In return of this commission, consignee guarantees the proceeds of cash sales and credit sales.	In return of this commission consignee does not give any guarantee.
3. How to Calculate?	It is calculated <i>either</i> on total sales (if no agreement) <i>or</i> credit sales (if agreement provides).	It is calculated on difference between Actual total sales and sales at specified selling price (if no agreement) or on actual total sales (if agreement provides).

(S) PARTNERSHIP AND JOINT VENTURE

<i>Basis of Distinction</i>	<i>Partnership</i>	<i>Joint Venture</i>
1. Scope	It is <i>not limited to a specific venture</i> .	It is <i>limited to a specific venture</i> .
2. Persons involved	The persons carrying on business are individually called <i>partners</i> .	The persons carrying on business are called <i>co-venturers</i> .
3. Ascertainment of Profit/loss	The profits/losses are ascertained on <i>an annual basis</i> .	The profits/losses are ascertained at the <i>end of specific venture</i> (if venture continues for a short period) or an <i>interim basis</i> annually (if venture continues for a longer period).
4. Act governing	Partnership firms are governed by <i>Indian Partnership Act, 1932</i> .	<i>No specific Act</i> is there.
5. Doctrine of Implied Authority	The doctrine of implied authority is <i>applicable</i> to partners.	The doctrine of implied authority is <i>not applicable</i> to coventurers.
6. Freedom to run competition	The partners <i>do not have</i> such freedom.	The co-venturers <i>have</i> such freedom.
7. Name	A partnership firm <i>always has</i> a name.	There is <i>no</i> need for firm name.
8. Separate Set of Books	Separate set of books <i>have to be maintained</i> .	There is <i>no need</i> for a separate set of books. The accounts can be maintained even in one of the Coventurer's books only.
9. Admission of Minor	A minor <i>can be</i> admitted to the benefits of the firm. [Sec. 30]	A minor <i>cannot</i> be a co-venturer as he is incompetent to contract.

(T) JOINT VENTURE AND CONSIGNMENT

<i>Basis of Distinction</i>	<i>Joint Venture</i>	<i>Consignment</i>
1. Nature of Relationship	The relation between co-venturers is that of co-owners .	The relation between the consignor and the consignee is that of Principal and Agent .
2. Ownership & Risk of Goods	Both these remain with co-venturers .	Both these remain with the consignor .
3. Account Sales	No Account Sales is sent by one co-venturer to another Co-venturer.	An Account Sales is prepared and submitted by the consignee to his con-signor.
4. Profit & Loss on transactions	Profit & losses are shared by the Co-venturers in an agreed ratio.	Profit & losses are shared only by the Consignor and not by the Consignee.
5. Subject-Matter of Dealing	Any movable or immovable property may be its subject matter.	Only movable property may be its subject matter.
6. No. of Persons	In a venture, there may be two or more persons.	In a consignment, there are two persons —Consignor and Consignee.
7. Methods of Recording	There are four methods of recording.	There is only one method of recording.

(U) HIRE PURCHASE SYSTEM AND INSTALMENT PURCHASE SYSTEM

<i>Basis of Distinction</i>	<i>Hire Purchase System</i>	<i>Instalment Purchase System</i>
1. Act governing	It is governed by Hire Purchase Act 1972 .	It is governed by the Sale of Goods Act 1930 .
2. Nature of Contract	It is an agreement of hiring .	It is an agreement of sale .
3. Passing of Title (ownership)	The title to goods passes on last payment .	The title to goods passes immediately as in the case of usual sale.
4. Right to Return goods	The hirer may return goods without further payment, except for accrued instalment.	Unless seller defaults, goods are not returnable .
5. Seller's right to repossess	The seller may take possession of the goods if hirer is in default.	The seller can sue for price if the buyer is in default. He cannot take possession of the goods.
6. Right to Dispose off	Hirer cannot hire out, sell, pledge or assign entitling transferee to retain possession as against the hire vendor.	The buyer may dispose off the goods and give good title to the bonafide purchaser.

Basis of Distinction	Hire Purchase System	Instalment Purchase System
7. Responsibility for Risk of Loss	The hirer is not responsible for risk of loss of goods if he has taken reasonable precaution because the ownership has not yet transferred.	The buyer is responsible for risk of loss of goods because of the ownership has transferred.
8. Name of Parties involved	The parties involved are called Hirer and Hire vendor .	The parties involved are called buyer and seller .
9. Relationship between parties involved	The relationship between hirer and hire vendor is that of Bailee and Bailor .	The relationship between the buyer and seller is that of a debtor and creditor till last instalment is paid.
10. Component other than cash price	Component other than Cash Price included in Instalment is called Hire charges .	Component other than Cash price included in Instalment is called Interest .

(V) FULL REPOSSESSION AND PARTIAL REPOSSESSION

Complete Repossession In case of complete or full repossession the hire vendor takes back the possession of all the goods. All entries till the date of default are passed in the usual manner. The additional treatment is as follows:

Books of Hire Purchaser	Books of Hire Vendor
1. For Closing Hire Vendor's Account Hire Vendor's A/c Dr. To Asset A/c Note: This entry is passed with the amount due to the hire-vendor. Dr.	1. On Repossession of goods H.P. Goods Repossessed A/c Dr. To Hire Purchaser's A/c Note: This entry is passed with the revalued amount of goods repossessed.
2. For Closing Asset Account (i) If the Book Value of the Asset exceeds the amount due to Hire-Vendor Profit & Loss A/c To Asset A/c (ii) If the amount due to Hire-Vendor exceeds the Book Value of the Asset Asset A/c Dr. To Profit & Loss A/c	2. For amount spent on reconditioning of Goods Repossessed Goods Repossessed A/c Dr. To Cash A/c/Bank A/c 3. For sale of Goods Repossessed Cash A/c/Bank A/c /Debtors A/c Dr. To Goods Repossessed A/c 4. For loss on sale of Goods Repossessed Profit & Loss A/c Dr. To Goods Repossessed A/c Note: In case of profit, a reverse entry will be passed.

Partial Repossession In case of partial repossession, the hire vendor takes back the possession of a part of the goods. All entries till the date of default are passed in the usual manner. The additional treatment is as follows:

Books of Hire Purchaser	Books of Hire Vendor
1. For transfer of the agreed value of Goods Repossessed Hire Vendor's A/c Dr. To Asset A/c	1. On Repossession of Goods at agreed value H.P. Goods Repossessed A/c Dr. To Hire Purchaser's A/c
2. For Transfer of loss on default Profit & Loss A/c Dr. To Asset A/c Notes: (i) Loss on default = Book Value of Goods Repossessed as on date of repossession <i>less</i> Agreed Value of Goods Repossessed (ii) In case of profit on default, the reverse entry will be passed	2, 3, 4—Same entries as in case of Complete Repossession

(W) DISSOLUTION OF PARTNERSHIP AND DISSOLUTION OF FIRM

Basis of Distinction	Dissolution of Partnership	Dissolution of Firm
1. Termination of business	The business is <i>not</i> terminated.	The business of the firm is closed.
2. Settlement of assets and liabilities	Assets and liabilities are revalued and new balance sheet is drawn.	Assets are realized and liabilities are paid off.
3. Account to determine Profit/Loss	Revaluation Account is prepared to determine the profit/loss on revaluation.	Realization Account is prepared to determine the profit/loss on realization.
4. Court's Intervention	Court does not intervene because partnership is dissolved by mutual agreement.	A firm can be dissolved by the court's order.
5. Economic Relationship	Economic relationship between the partners changes .	Economic relationship between the partners comes to an end forever.
6. Closure of books	It does not require closure of books because the business is not terminated.	All books of accounts are closed .

(X) REVALUATION ACCOUNT AND REALISATION ACCOUNT

Basis of Distinction	Revaluation Account	Realisation Account
1. Meaning	It records the effect of revaluation of assets and liabilities.	It records the realisation of various assets and payments of various liabilities.
2. Purpose	It is prepared to determine the net profit/loss on revaluation .	It is prepared to determine the net profit/loss on realisation .

<i>Basis of Distinction</i>	<i>Revaluation Account</i>	<i>Realisation Account</i>
3. When prepared	It is prepared at the time of reconstitution of partnership (e.g., on admission of a new partner, on retirement/death of a partner).	It is prepared at the time of dissolution of the firm .
4. Transfer of Balance	Its balance is transferred only to old partners' capital accounts.	Its balance is transferred to all partners' capital accounts.
5. Basis of entries relating to the assets and liabilities.	Entries relating to assets and liabilities are made on the basis of difference between the book value and revalued figure .	Entries relating to assets and liabilities are made on the basis of their book values and actual payments .
6. Effect of entries on accounts relating to assets and liabilities.	As a result of entries passed in this account, the accounts of assets and liabilities revalued, are not closed .	As a result of entries passed in this account, the accounts of assets and liabilities are closed .
7. Preparation of Account during the life time of the firm.	This account may be required to be prepared at a number of occasions during the lifetime of a firm.	This account is prepared only once during the lifetime of a firm.

(Y) FIRM'S DEBTS AND PRIVATE DEBTS

<i>Basis of Distinction</i>	<i>Firm's Debts</i>	<i>Private Debts</i>
1. Who incurs	Firm's debts are incurred by the firm .	Private debts are incurred by a partner in the individual capacity of a household and not in the capacity of a partner of a firm.
2. Who is liable	For firm's debts, all partners are jointly and severally liable.	For private debts, only the concerned partner is liable.
3. Application of firm's property	For firm's debts , firm's property shall be applied first .	For private debts, only the share of concerned partner in the excess of firm's property over firm's debts can be applied.
4. Application of private property	For firm's debts , only the excess of partner's private property over his private debts can be applied.	For private debts , private property shall be applied first .

3.0 TRUE OR FALSE QUESTIONS

1. State with Reasons whether the following Statements True or False:

- (i) An expenditure intended to benefit the current period is a revenue expenditure.
- (ii) Receipts and payments account is summary of all capital receipts and payments.
- (iii) Expenditure which results in the acquisition of a permanent asset of enduring benefit to the business is a capital expenditure.
- (iv) Sale of office furniture should be credited to sales account.
- (v) Errors of principle will affect trial balance.
- (vi) The balance in the petty Cash book represents expense.
- (vii) Goodwill is a fictitious asset.
- (viii) Profit and Loss Account shows the financial position of the concern.
- (ix) Capital = Net Assets
- (x) Patent rights is in the nature of normal account.

[2000]

Ans.

Statement	True/False	Reason
(i)	True	An expenditure intended to benefit the current period is a revenue expenditure.
(ii)	False	Receipts and Payments Account is a summary of all receipts and payments (whether revenue or capital).
(iii)	True	Expenditure which results in the acquisition of a permanent asset of enduring benefit to the business is a capital expenditure.
(iv)	False	Sale of Office Furniture should be credited to Furniture Account .
(v)	False	Errors of principle will not affect Trial Balance.
(vi)	False	The balance in the Petty Cash Book represents balance of cash in the hands of Petty cashier.
(vii)	False	Goodwill is not fictitious asset. It is an intangible asset . The value of Goodwill increase or decrease according to the Profit earning capacity of the business.
(viii)	False	Profit and Loss Account shows the financial performance of the concern.
(ix)	True	Capital = Net Assets
(x)	False	Patent rights is in the nature of Real Account .

2. State giving reasons whether the following statements are True or False:

- (i) Accumulated depreciation is a sum of cash being accumulated for the replacement of fixed assets.
- (ii) During the period of rising prices, accounts prepared on historical cost basis would result in understatement of Income.
- (iii) Every item in the branch stock account must be stated at the cost price even when loaded price is given.
- (iv) The withdrawals of goods by the proprietors are deducted from the purchases at sale price.
- (v) Legal expenses incurred in an action for infringement of its trademark is a capital expenditure.

[2001]

Ans.

Statement	True/False	Reason
(i)	False	Accumulated Depreciation represents the aggregate of depreciation provided during the various accounting periods till date. It does not represent the cash accumulated when the cash equivalent to accumulated depreciation is invested in earmarked the securities to replace the asset under stable prices. Depreciation is not a source of funds.
(ii)	False	During the periods of rising prices, accounts on historical cost basis would result in overstatement of Income since the less amount of depreciation calculated on historical cost basis is charged to Profit & Loss Account.
(iii)	False	Branch Stock Account is always prepared at Invoice Price and not at cost price even if loaded price is not given in the question. In other words, the opening stock, goods returned by customers and the goods supplied to branch on the debit side and cash sale, credit sales and goods returned to Head Office by the branch and closing stock on the credit side of the Branch Stock Account are entered at the invoice price.
(iv)	False	The withdrawals of goods by the proprietors are deducted from the purchases at cost price and not at the sales price.
(v)	False	Legal expenses incurred in an action for infringement of its trade mark is a revenue expenditure and not a capital expenditure as these expenses have been incurred for maintaining a fixed asset and not to acquire it.

3. State, giving reasons in brief, whether each of the following statement 'True' or 'False'.

- (i) Land is also depreciable asset.
- (ii) Amount written off from the cost of fixed assets is capital expenditure.
- (iii) Rectification of mistake is necessary to tally the Trial Balance.
- (iv) Capital is all assets less fictitious assets.
- (v) Wages paid for erection of machinery are debited to Profit and Loss Account.

[2001(E)]

Ans.

Statement	True/False	Reason
(i)	False	Land is not a depreciable asset because its useful life is not limited to few years.
(ii)	False	Amount written off from the cost of fixed asset is treated as revenue expenditure and charged to Profit and Loss Account. Depreciation is an example of such written off.
(iii)	False	The Trial Balance can be tallied by debiting or crediting the difference amount to Suspense Account. However, rectification of error is necessary to have a proper accounting of transactions and to nullify the balance of Suspense Account (if any).
(iv)	False	Capital is all assets <i>Less</i> Fictitious Assets <i>less</i> Outside Liabilities.
(v)	False	Such wages being capital expenditure should be debited to the Machinery Account .

4. State whether the following statements are True or False. Explain with reasons:

- (i) All assets and liabilities not taken over by the vendee company are transferred to capital accounts of the partners.
- (ii) The Hire Vendor has to refund the amount of instalments received on repossession of goods in the case of default by the buyer.
- (iii) Under debtors system branch account is debited with losses like bad debts, discount allowed and depreciation.
- (iv) No method of depreciation accurately calculates the charge to be made in respect of the asset.
- (v) Any expenditure which is unreasonably large is capital expenditure. [B.Com]

Ans.

Statement	True/False	Reason
(i)	True	All assets and liabilities not taken over by the vendee company are transferred to capital accounts of the partners. The partners may agree between themselves as to how these should be divided. In the absence of any agreement the unrealisable assets should be divided between the partners in their profit sharing ratio. This procedure will eliminate the assets from the books and allowing them to be closed. The ultimate profit or loss on the sale of such assets will be divided in the profit sharing ratio.
(ii)	False	In case the hire purchaser fails to pay the instalment in time, it amounts to default and therefore the article as well as the instalment already paid are liable to be forfeited.
(iii)	False	Under debtor system branch account, bad debts, discount allowed and depreciation do not appear in the branch account for the simple reason that the opening balance of debtors and fixed assets and closing balance of debtors and assets automatically adjust discount allowed, bad debts and depreciation.
(vi)	True	Depreciation is an accounting process of allocating the depreciable cost (cost minus scrap value) over the estimated useful life of the fixed assets. Depreciation charge is not an exact amount but based on estimate. Depreciation is allocated so as to charge a fair proportion of the cost in each accounting period during the expected useful life of assets. So no method of depreciation accurately calculates the charge to be made in respect of the asset.
(v)	False	The facts and circumstances of each would determine the nature of the expenditure. An expenditure does not become capital because the amount involved is large. Similarly revenue expenditure does not always mean small amount. Capital expenditure is money spent on the purchase of permanent or fixed assets for use in the business and not for immediate resale or on the permanent improvement of or addition or extension of an existing asset with a view to increase the earning capacity of the business enterprise.

5. State, giving reasons in brief, whether each of the following statement in 'True' or 'False'.

- (i) *Subsidiary books are also called books of original entry.*
- (ii) *Cash Purchases are recorded in the cash book in the name of the supplier.*
- (iii) *A tallied trial balance means that the books of accounts contain no errors.*
- (iv) *Expenditure incurred to keep the machine in working condition is a capital expenditure.*
- (v) *A joint venture business has a definite life.*

[2002(R)]

Ans.

Statement	True/False	Reason
(i)	True	They are called books of original entry because the transactions pertaining to a special subsidiary books are for the first time recorded in these books.
(ii)	False	Cash purchases are recorded in the cash book under the account title of Purchase Account since the name of the supplier becomes irrelevant books of accounts.
(iii)	False	Agreement of Trial Balance is not a conclusive proof of the accuracy, because there are some errors like errors of principle, compensating errors etc. which do not affect the agreement of Trial balance.
(iv)	False	It is a revenue expenditure because it does not increase the earning capacity but only keeping the machine in working condition.
(v)	True	A joint venture business has a definite life and automatically comes to an end on the completion of the venture for which it was formed.

6. State with reasons whether the following statements are True or False

- (i) *Depreciation is decrease in the market value of a fixed asset.*
- (ii) *Revenue and income are one and the same thing.*
- (iii) *According to Accrual concept, revenues are recognised only when cash is actually received.*
- (iv) *Assets represent expired costs while expenses are unexpired costs*
- (v) *Outstanding Rent Account is a personal account.*

[2003]

Ans:

Statement	True/False	Reason
(i)	False	Depreciation is basically decrease in book value i.e., cost <i>minus</i> depreciation. It may be possible that assets is charged with depreciation and market value of asset may go up.
(ii)	False	Revenue and income are not one and the something. Income is Total revenues <i>minus</i> total expenses incurred to earn revenues. The difference between the total revenues and total expenses will represent either income or profit (if revenue exceeds expenses) or loss (if expenses exceed revenues).
(iii)	False	Under accrual concept, revenue has to be recognised when it is earned irrespective of the fact whether cash i.e., received or not in the given period.
(iv)	False	Assets represent unexpired costs and expenses are expired costs.
(iv)	True	Outstanding rent account is a personal account because it represents the person to whom the rent is due.

7. State whether the following statements are True or False (explain with reasons):

- (i) Provision for depreciation in accounts reduces the amount available for dividends.
- (ii) Legal expenses incurred in an action for infringement of its trade mark is a capital expenditure.
- (iii) Goodwill is a fictitious asset.
- (iv) Revenue should be recognised only when cash is received.
- (v) First In First Out (FIFO) method of inventory valuation is most suitable under inflationary conditions.

[2006]

Ans.

Statement	True/False	Reason
(i)	True	Depreciation being a charge against profit is debited to Profit and Loss Account and thus it reduces the amount of profit available for dividends.
(ii)	False	Legal expenses incurred in an action for infringement of its trademark is not a capital expenditure because these have been incurred for maintaining a fixed asset and not for acquiring a fixed asset.
(iii)	False	Goodwill is an intangible assets and not a fictitious asset.
(iv)	False	As per accrual system of accounting revenue is recognised when it is earned irrespective of the fact whether cash is received or not in the given period. As per cash basis of accounting revenue should be recognised when cash is received.
(v)	False	Under inflationary conditions, i.e., in a period of rising prices, LIFO is most suitable since current costs (which are higher than the old costs) are matched with current revenue and as a result lower income is reported and income-tax liability is reduced.

8. State with reasons whether the following statements are True or False:

- (i) Expenses incurred to keep the machine in working conditions is a capital expenditure.
- (ii) Accrual concept implies accounting on cash basis.
- (iii) Depreciation cannot be provided in case of loss in a financial year.
- (iv) Prudence is a concept to recognise unrealised profits and not losses.
- (v) The receipts and payments account records receipts and payments of revenue nature only.

[2009]

Ans.

Statement	True/False	Reason
(i)	False	Expenses incurred to keep the machine in working condition are treated as revenue expenditure since expenses to keep the machine in working condition does not add to the revenue earning capacity of the business.
(ii)	False	Accrual concept implies recognition of revenues and expenses does not depend upon the time when cash is actually received for revenues or paid for expenses. Mere promise on the part of the business entity to make payment for salaries, rent, stationery etc. in future can be considered as an expense.

Statement	True/False	Reason
(iii)	False	Depreciation is a charge against profit and hence it is provided every year even in case of loss in a financial year.
(iv)	False	Prudence is a concept to recognise unrealised losses and not profit. Convention of prudence says that (i) the accountant should not anticipate profit and should provide for all losses (ii) when in doubt, the accountant should choose the accounting method that will be least likely to overstate assets and income.
(v)	False	Receipt and Payments Account record receipts and payments of revenue nature as well as capital nature whether it relates to current year, previous year or future year.

9. State with reasons whether the following statements are True or False:

- (i) A business entity can keep its accounts on accrual basis of accounting.
- (ii) Legal Fees paid to acquire a property is capital expenditure.
- (iii) Higher depreciation will not affect cash profit of the business.
- (iv) Receipts and Payments Account highlights total income and expenditure.
- (v) Deferred revenue expenditure is current year's revenue expenditure to be paid in later years.

[2010]

Ans:

Statement	True/False	Reason
(i)	True	A business entity can keep its accounts on either cash basis of accounting or on accrual basis of accounting. Under accrual system, revenue and expenses are taken into consideration for the purpose of income determination on the basis of accounting period to which they relate. Unless otherwise specified it has assumed that the business entity follows accrual basis of accounting i.e., Accrual basis of accounting is a fundamental assumption of accounting.
(ii)	True	Legal expenses incurred to acquire a property is treated as capital expenditure and hence are part of the cost of assets.
(iii)	True	It is true that higher depreciation will not affect cash profit of the business because depreciation is a non cash expenses depreciation affect net profit but does not affect cash profit of the business.
(iv)	False	Receipt and Payment account is a real account shows capital as well as revenue receipts and payments whether pertains to current year or not. Total income and total expenditure is shown in Income and Expenditure Account.
(v)	False	Deferred revenue expenditure is a later years' revenue expenditure paid during current year. Deferred revenue expenditure are those expenditure which are primarily revenue in nature but the benefit from which is not consumed or exhausted in the year in which the expenditure is incurred. Such expenditure are carried forward or spread over a number of accounting periods during which the business is expected to get benefit from the same.

4.0 SHORT ANSWER QUESTIONS

1. (a) *State the meaning and objective of Accounting Standard. Does a standard differ from the accounting concept?* [2010(R)]
- (b) *How many Accounting Standards have been formulated by Accounting Standards Board of the ICAI till date?* [2008(R)]
- (c) *What is the legal status of AS in India? Are all Indian Accounting Standards mandatory from the very beginning?* [2008(E), 2009]

Ans.

- (a) **Meaning** – Accounting Standards are selected accounting Policies relating to Recognition, Measurement and Disclosure of economic events.

Objective – The main objective of setting Accounting Standards is to bring uniformity in accounting practices and to ensure transparency, consistency and comparability.

Concepts – Accounting concepts are the basic assumptions concerning the economic, political and social environment within which accounting operates.

- (b) The Council of the Institute of Chartered Accountants of India has so far issued 32 accounting standards out of which AS-8 has already been withdrawn.
- (c) **Mandatory** – All Indian Accounting Standards were not mandatory from the very beginning but at present, all Accounting standards are mandatory. These accounting standards are mandatory in the sense that these are binding on the members of the Institute.

These are mainly applicable to the published accounts of limited companies. However, in case of sole proprietorship and partnerships, accounting standards mandatorily apply when the financial statements are statutorily required to be audited.

The accounting standards apply to the preparation of general purpose financial statements i.e., Balance Sheet, Profit and Loss Account and other statements which form part of the financial statements. It is the duty of auditor to examine whether the mandatory accounting standards are complied with in the preparation of financial statement. If there is any deviation, adequate disclosure should be made so that the users of financial statements become aware of such deviation.

2. *State the significance, advantages of and arguments against Accounting Standards.*

[2008 (E)]

Ans.

ACCOUNTING STANDARDS

Significance	The adoption and application of accounting standards ensures uniformity, comparability and qualitative improvement in the preparation and presentation of financial statements. The accounting standards seek to describe the accounting principles, the valuation techniques and the methods of applying the accounting principles in the preparation and presentation of financial statements so that they may give a true and fair view. The ostensible purpose of the standard setting bodies is to promote the dissemination of timely and useful financial information to investors and certain other parties having an interest in companies' economic performance.
Advantages	1. Reduction in Variations—Standards reduce to a reasonable extent or eliminate altogether confusing variations in the accounting treatments used to prepare financial statements.

	2. Disclosure Beyond that Required by Law—There are certain areas where important information is not statutorily required to be disclosed. Standards may call for disclosure beyond that required by law. 3. Facilitates Comparison—The application of accounting standards would, to a limited extent, facilitate comparison of financial statements of companies situated in different parts of the world and also of different companies situated in the same country. However, it should be noted in this respect that differences in the institutions, traditions and legal systems from one country to another give rise to differences in accounting standards practised in different countries.
Arguments against	1. Restriction on Choice of Alternative Treatments—Alternative solutions to certain accounting problems may each have arguments to recommend them. A standard which insists on one particular solution may be unduly restrictive. This can sometimes be avoided <i>either</i> by allowing a permitted choice between different accounting treatments, <i>or</i> by defining closely the circumstances where different treatments may be appropriate. 2. Rigidity—There may be a trend towards rigidity in applying the accounting standards. Michael Alexander, Director of Research and Technical Activities at the Financial Accounting Standards Board (FASB) said, 'the demand for standards comes largely from an insatiable appetite for rules. The reliance on judgement in technical accounting matters seems to have gone'. 3. Cannot Override the Statute—Accounting standards cannot override the statute. The standards are required to be framed within the ambit of prevailing statutes.

2. (a) Define Depreciation, Depletion, Amortization, Obsolescence and Depreciation Accounting.
 (b) State the causes of Depreciation.
 (c) Why is there need for providing depreciation?
 (d) State the factors affecting the amount of depreciation. [2007, 2010]

Ans.

(A) DEPRECIATION, DEPLETION, AMORTIZATION, OBsolescence AND DEPRECIATION ACCOUNTING

Depreciation	1. Depreciation is the permanent and continuous decrease in the book value of a depreciable fixed asset due to use, effluxion of time, obsolescence, expiration of legal rights or any other cause. 2. According to the Institute of Chartered Accountants in England and Wales, 'Depreciation represents that part of the cost of a fixed asset to its owner which is not recoverable when the asset is finally out of use by him. Provision against this loss of capital is an integral cost of conducting the business during the effective commercial life of the asset and is not dependent on the amount of profit earned'. 3. Comprehensively, the term 'Depreciation' covers Depletion, Amortization and Obsolescence.
Depletion	The term 'Depletion' refers to the physical deterioration by the exhaustion of natural resources (ore-deposits in mines, oil wells, quarries, timber stands etc.).

Amortisation	The term 'Amortisation' refers to the economic deterioration by the expiration of intangible assets (patents, copyrights, goodwill etc.)
Obsolescence	The term 'Obsolescence' refers to the economic deterioration by (a) invention of improved technique or equipment (b) market decline due to change in taste and fashion etc. (c) inadequacy of existing plant to meet the increased business.
Depreciation Accounting	According to the American Institute of Certified Public Accountants (AICPA), 'Depreciation Accounting is a system of accounting which aims to distribute cost or the basic value of tangible capital assets less salvage (if any), over the estimated useful life of the unit (which may be group of assets) in a systematic and rational manner. It is a process of allocation and not of valuation.'

(B) CAUSES OF DEPRECIATION

1. Physical Wear and Tear	When the fixed assets are put to use, the value of such assets may decrease. Such decrease in the value of assets is said to be due to physical wear and tear.
2. With the Passage of Time	When the assets are exposed to the forces of nature like weather, winds, rains, etc. the value of such assets may decrease even if they are not put to any use.
3. Changes in Economic Environment	The value of an asset may decrease due to decrease in the demand of the asset. The demand of the asset may decrease due to technological changes, changes in the habits of consumers etc.
4. Expiration of Legal Rights	When the use of an asset (e.g., patents, leases) is governed by the time bound arrangement, the value of such assets may decrease with the passage of time.

(C) NEED FOR CHARGING DEPRECIATION

1. To ascertain True Results of Operations	For proper matching of costs with revenues, it is necessary to charge the depreciation (cost) against income (revenue) in each accounting period. Unless the depreciation is charged against income, the result of operations would stand overstated. As a result the Income Statement would fail to present a true and fair view of the financial performance of an accounting entity.
2. To present True and fair view of the Financial Position	For presenting a true and fair view of the financial position, it is necessary to charge the depreciation. If the depreciation is not charged, the unexpired cost of the asset concerned would be overstated. As a result, the Position Statement (i.e. the Balance Sheet) would not present a true and fair view of the financial position of an accounting entity.
3. To ascertain the True Cost of Production	For ascertaining the cost of production, it is necessary to charge depreciation as an item of cost of production. If the depreciation on fixed assets is not charged, the cost records, would not present a true and fair view of the cost of production.
4. To comply with Legal Requirements	In case of companies, it is compulsory to charge depreciation on fixed assets before it declares dividend [Sec. 205(1) of The Companies Act, 1956].

5. To accumulate Funds for Replacement of Assets	A portion of profits is set aside in the form of depreciation and accumulated each year to provide a definite amount at a certain future date for the specific purpose of replacement of the asset at the end of its useful life.
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(D) FACTORS AFFECTING THE AMOUNT OF DEPRECIATION

1. Historical Cost	It implies the cost incurred on its acquisition, installation, commissioning and for additions to or improvements of a depreciable asset which are of capital nature.
2. Expected Useful Life	It implies <i>either</i> the period over which a depreciable asset is expected to be used by the enterprise <i>or</i> the number of production <i>or</i> similar units expected to be obtained from the use of the asset by the enterprise.
3. Estimated Residual Value	It implies the value expected to be realised on sale <i>or</i> exchange of a depreciable asset on the expiry of its useful life.

3. (a) *What is Contingent Liability? Give three examples of Contingent Liabilities.*
 (b) *How does it differ from other Liability?*

[2010]

Ans.

(A) MEANING, DISCLOSURE AND EXAMPLES OF CONTINGENT LIABILITY

Meaning	A contingent liability is one which is not an actual liability but which may or may not arise depending on the happening or non-happening of an uncertain future event. Really, contingent liabilities have two characteristics : (i) uncertainty as to whether the amount will be payable at all; (ii) uncertainty about the amount involved.
Disclosure	It is sufficient for the amount of contingent liability to be stated on the face of the balance sheet by way of a note, unless there is a probability that a loss will materialise and its reasonable estimate can be made. In that event, it is no more a contingent liability and a specific provision should be made therefor.
Examples	(i) Arrears of dividends on cumulative preference shares; (ii) Bills of exchange discounted but not yet matured. (iii) Guarantees given by the company to companies under the same management; and (iv) Suit for damages against the company which it is defending. (v) Gratuities payable to staff on retirement or death. An example, not involving loss, is the amount due on partly paid shares or the amount payable on a contract for construction of works. On payment, a corresponding assets will come into existence.

(B) DISTINCTION BETWEEN CONTINGENT LIABILITY AND OTHER LIABILITIES.

<i>Basis of Distinction</i>	<i>Contingent Liability</i>	<i>Other Liabilities</i>
1. Meaning	It is an obligation which may or may not arise depending on the happening or non-happening of an uncertain future event.	These are financial obligations of an enterprise other than owners' equity.
2. Disclosure	It is disclosed by way of foot note to the Balance Sheet.	These are disclosed on the liabilities side of the Balance Sheet.
3. Example	1. Bills discounted but not yet matured. 2. Arrears of dividend on Cum-Pref-shares	1. Creditors for goods 2. Outstanding expenses

4. State the limitations of Financial Statements.

[2007]

Ans.

LIMITATIONS OF FINANCIAL STATEMENTS

Ignores the Qualitative Elements	Financial statements ignore the qualitative elements like quality of management, quality of labour force, public relations.
Not Free from Bias	Financial statements are not free from bias since the subjectivity is inherent in personal judgments involved in making decision regarding method of depreciation, method of inventory valuation, materiality, provision for doubtful debt etc.
Ignores the Price Level Changes	Financial statements prepared on historical basis ignore the price level changes since the financial statements are prepared on historical cost basis and not on current cost basis.
Relates to Past and not to Future	Financial statements relate to the past and not to the future.

5. State the Accounting Treatment of the following under

(a) Debtors Method and (b) Stock and Debtors Method

(i) Normal Loss [2005,2007]

(ii) Abnormal Loss [2005,2007]

(iii) Insurance Claim[2005,2007]

(iv) Goods Returned by Branch Customers directly to Head Office

[2005,2007]

(v) Cash Remitted by Branch Customers directly to Head Office

[2005,2007]

Ans.

ACCOUNTING TREATMENT UNDER DEBTORS METHOD

<i>Item</i>	<i>Accounting Treatment under Debtors Method</i>
1. Normal Loss	Normal loss does not appear in the Branch Account since the Closing Stock appears at the adjusted figure.
2. Abnormal Loss	Abnormal loss does not appear in the Branch Account since the Closing Stock appears at the adjusted figure.

[illegible]

ACCOUNTING TREATMENT UNDER STOCK AND DEBTORS METHOD

Item	Accounting Treatment under Stock and Debtors Method	
1. Normal Loss	Branch Adjustment A/c To Branch Stock A/c	Dr. [Invoice Price]
2. Abnormal Loss	Branch Adjustment A/c Branch Profit & Loss A/c To Branch Stock A/c	Dr. [Loading] Dr. [Cost] [Invoice Price]
3. Insurance Claim	Branch Cash A/c/ Insurance Co. To Branch Profit & Loss A/c	Dr.
4. Goods Returned by Branch Customers directly to Head Office	(i) Goods sent to Branch A/c To Branch Debtors A/c (ii) Branch Adjustment A/c To Goods sent to Branch A/c	Dr. [Invoice Price] Dr. [Loading]
5. Cash Remitted by Branch Customers directly to Head Office	Cash A/c To Branch Debtors A/c	Dr.

6. State the Relevance of Disclosure Principle of Accounting.

[2009]

Ans.

Principle of Full Disclosure	This principle requires that all significant information relating to the economic affairs of the enterprise should be completely disclosed. In other words, there should be a sufficient disclosure of information which is of material interest to the users of the financial statements such as proprietors, present and potential creditors, investors and others. This
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	principle is so important that the Companies Act makes ample provisions for the disclosure of essential information in the financial statements of a company. The proforma and contents of Balance Sheet and Profit and Loss Account are prescribed by Companies Act.
Contingent Liabilities	Various items or facts which do not find place in accounting statements are shown in the balance sheet by way of foot note. <i>For example:</i> (a) A claim of a very big sum pending in a court of law against the enterprise should be brought to the notice of the users of the financial statements, otherwise the statements would be misleading. (b) If there is a change in the method of valuation of stock, or for providing depreciation or in making provision for doubtful debts, it should be disclosed in the balance sheet by way of a footnote. (c) Market value of investments should be given by way of a foot note. Disclosing of material facts does not mean leaking out the secrets of the business but disclosing sufficient information which is of material interest to the users of the financial statements.

7. Can a seller seize goods under the Hire-Purchase system, if the buyer commits default in the payment of instalments? [2007]

Ans.

Yes. If default is made in the payment of even in the last instalment, the seller will be entitled to seize goods because the ownership in the property remains with the seller till the payment of final instalment. However, Section 20 of the Act provides that in the following cases, the hire vendor cannot exercise his right of repossession of goods unless it is sanctioned by the court:

- (i) Where the hire-purchase price is less than Rs. 15,000, and 50% of the hire purchase price has been paid.
- (ii) Where the hire-purchase price is Rs 15,000 or more and 75% of the hire-purchase price has been paid.

8. How do you close the creditors account when all the partners are insolvent and there is not sufficient cash to pay the creditors in full? [2007]

Ans.

Closing of Creditors Account when all the partners are insolvent and there is not sufficient cash to pay creditors in full :

1. First of all, Realisation Account should be prepared in the usual manner (without transferring creditors).
2. Thereafter, a Cash Account should be prepared and cash available with the firm together with the amount realised from the private estates of the partners is paid to the creditors. In other words, the balance of cash account is transferred to the debit of creditors account.
3. Thereafter, the unpaid balance in the creditors account is transferred to the credit side of the newly opened account called Deficiency Account.
4. In this way, Creditors Account will be closed.

9. How do you treat unrecorded liability at the time of dissolution of the firm? [2007]

Ans.

An unrecorded liability might arise in the course of dissolution, e.g., contingent liability in respect of dishonour of bills receivable discounted or claim for a disputed payment etc. The accounting treatment will be :

(i) <i>When unrecorded liability is paid by the firm</i>	(ii) <i>When taken over by or paid by a partner</i>
Realisation A/c To Bank A/c Dr.	Realisation A/c To Partner's Capital A/c Dr.

10. Comment in brief on any two of the following naming the principles of accounting on which these statement are based :

- Balance sheet is not a valuation statement.
- Advance received from a supplier is not taken as income or sales.
- Calibre or quality of management team is not directly disclosed on the Balance sheet.

[2008]

Ans.

Balance" sheet is not a Valuation Statement	This statement is based on ' Cost Concept ' which says that an asset is recorded in the books of account at the price paid for it and not at its market value e.g. if a computer valued Rs. 1 lac is purchased from a friend for Rs. 60,000 then the computer is recorded in the books at Rs. 60,000 and all future transactions are based on Rs. 60,000. So assets are valued at cost or book value and not the market value. Items which have no cost are ignored. Goodwill appears in the books only when the firm has purchased this for a price. So balance sheet is not a valuation statement.
Advance received from a supplier is not taken as income or sales	This statement is based an Accrual Concept . This concept applies to both revenue and expenses. Accrual Concept says that revenue is recognised when sale is complete or services are rendered and it is immaterial whether the cash is received or not. This concept makes the distinction between the receipt of cash and right to receive cash. So any advance received from a supplier is not treated as sales. Because income is associated with the changes in owner's equity and that it is not necessarily related to changes in cash.
Calibre or quality of management team is not directly disclosed on the Balance Sheet	This statement is based on ' Money Measurement Concept ' which says that only those transactions are recorded into business which can be expressed or measured in terms of money. So the quality of management, efficient staff, death of a partner or director, dispute between purchase manager and sales manager are not recorded in the books of accounts at all.

11. Due to changing economic and business environment GAAPs are losing their significance?. Explain. [2009(E)]

Ans. Accounting is the language of business. To make the language convey the same meaning to all people, accountants all over the world have developed certain rules, procedures and conventions, which represent a consensus view by the profession of good accounting practices and procedures and are generally referred to as *Generally Accepted Accounting Principles* (GAAP).

According to American Institute of Certified Accountants, *generally accepted accounting principles incorporate the consensus at any time as to which economic resources and obligations should be recorded as assets and liabilities, which changes in them should be recorded, how the recorded assets and liabilities and changes in them should be measured, what information should be disclosed and which financial statements should be prepared.*

The GAAP are the building blocks of the accounting language, rather than are the pillars on which the structure of accounting rests. In split of this, due to changing economic and business environment, the GAAP are losing their significance.

12. Recognising that the values of land have been increasing in the recent years, Anil, owner of Anil Constructions Ltd. increased the balance sheet amount of land from 50 lac rupees to 6 core rupees. Explain the accounting concept which has been violated. [2008 (E)]

Ans. In the given situation cost concept has been violated.

13. "Revenue is recognised when a sale transaction is made or when services are rendered". State the exceptions to this general rule. [2009(R)]

Ans. Generally revenue is recognised when a sale transaction is made or when services are rendered. But there are certain exceptions to this rule:

1. First, in case of long-term contracts revenue is recognised before completion of the job.
2. Second, when Cash basis of accounting is followed revenue is recognised when it is received in cash.
3. Third, Under hire-purchase transactions – revenue is recognised in proportion to the instalments over price.
4. Fourth, in case of gold mining revenue is recognised at the point of production itself.

14. Attempt any two of the following (Answer need not exceed 50 words each):

- (i) *The proprietor has withdrawn some goods from the business for his personal use. Is it compulsory to record it in the books of the firm ? Give reasoning.*
- (ii) *The life of business is assumed to be indefinite (going concern concept), yet companies prepare their accounts annually. What is the basis ?*
- (iii) *You started a business on 1st April, 2004 (financial year closes on 31st March, 2005). Salaries for March, 2005 were paid on 7th April, 2005. Monthly salaries bill amounts to Rs. one lac. How much amount would be shown in 2004-05 P & L A/c and on what basis? [2006(E)]*

Ans. (i) Yes, it is compulsory to record in the books of the firm withdrawal of goods by proprietor from the business for his personal use as per *Business Entity Concept*. As per this concept, a business is treated as a separate entity that it is distinct from its owner.
 (ii) Accounting Period Concept is the base of preparing final accounts annually.
 (iii) As per Accrual basis of Accounting we record Rs. 12,00,000 as salaries in Profit & Loss Account for the year ended 31st March, 2005,

15. Why is Convention of materiality considered so significant in accounting? [2007(R)]

Ans. Convention of materiality is considered so significant in accounting because:

1. **Makes the Financial Statements precise and useful.** This convention makes the financial statements precise and free from unnecessary insignificant details. Under this convention, financial statements contain only significant information useful to users.
2. **Reduction of Cost of Accounting.** It reduces the cost of accounting and lessens the burden of accountants in recording transactions and preparation of financial statements by ignoring insignificant amounts or negligible transactions.

16. "Accounting principles become Generally Accepted Accounting Principles (GAAP) when they satisfy certain norms." What are those norms ? Explain. [2007(E)]

Ans. Accounting principles become Generally Accepted Accounting Principles (GAAP) when they satisfy the following three norms :

1. **Relevance.** A principle is relevant to the extent it results in information that is meaningful and useful to those who use the accounting information.
2. **Objectivity.** The principle must have objectivity. A principle is objective to the extent the information is not influenced by the personal bias or judgement of those who provide it. The accounting information must be reliable. There must be some way of ascertaining the correctness of the information provided, it means that accounting information should be variable.
3. **Feasibility.** A principle is feasible to the extent it can be implemented without undue complexity or cost. Thus the principle must be practicable.

17. State, giving reasons in brief, whether you would consider the following as revenue or capital expenditure:

- (i) Repairs, Rs. 5,000 to a machine necessitated by negligence of an employee.
- (ii) import duty on raw materials.
- (iii) Cost of pulling down an old building preparatory to building a new one.
- (iv) Rs. 2,000 spent to remove a worn out part of a Delivery Van and replace it with a new one.
- (v) Solicitor's fees paid Rs. 10,000 to purchase a plot of land.

Ans.

Statement	Exp.	Reason
(i)	Revenue	Repairs Rs. 5,000 to a machine necessitated by negligence of an employee should be treated as revenue expenditure since it is incurred to keep the asset in working order.
(ii)	Revenue	Import duty on raw material should be treated as revenue expenditure since it has been incurred to put the material in present location and condition.
(iii)	Revenue	Cost of pulling down an old building preparatory to building a new one should be treated as revenue expenditure since it has <i>neither</i> resulted in increasing the life or efficiency of an existing asset <i>nor</i> in bringing into existence a new asset and as such cannot be treated as capital expenditure.
(iv)	Revenue	Rs. 2,000 spent to remove a worn out part of delivery van and replace it with a new one should be treated as revenue expenditure since it is incurred to keep the asset in working order. Such expenditure has <i>neither</i> resulted in increasing the life or efficiency of an existing asset <i>nor</i> in bringing into existence a new asset and as such cannot be treated as capital expenditure.
(v)	Capital	Solicitor's fees paid Rs. 10,000 to purchase a plot of land should be treated as capital expenditure since it has been incurred to acquire plot of land.